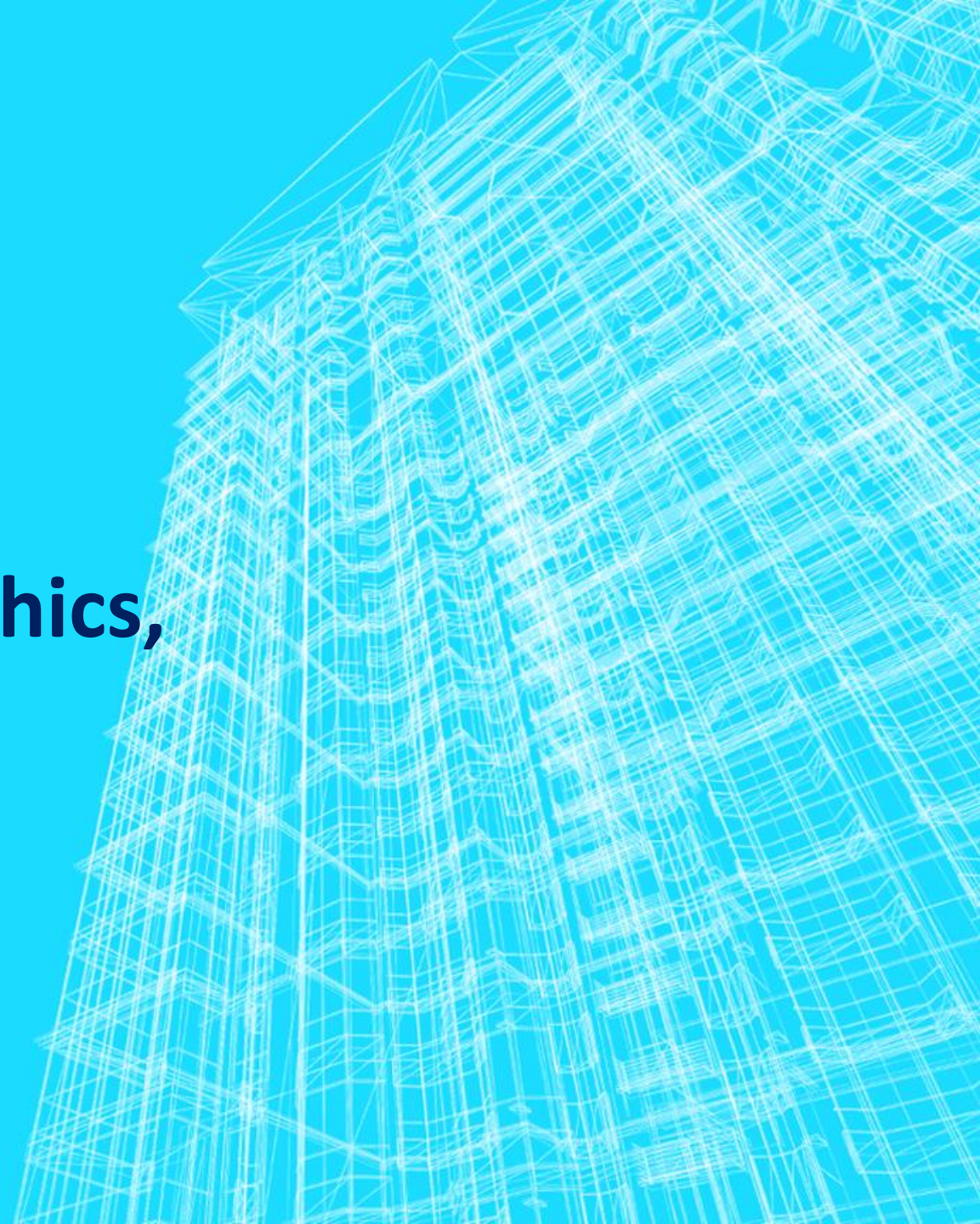
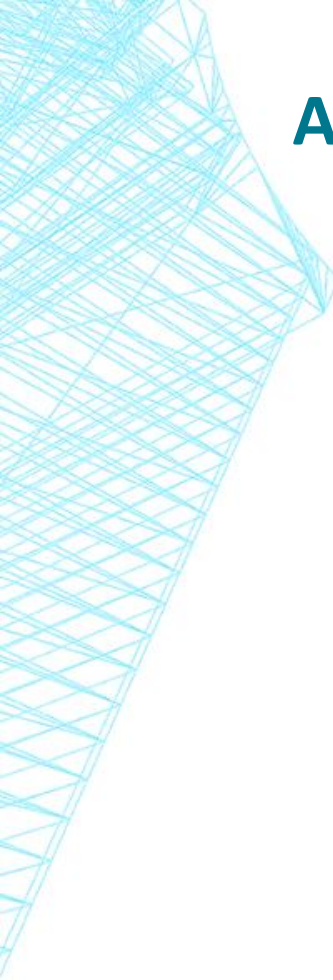


Chapter five

Business Ethics, Leadership Ethics, and Global Ethics





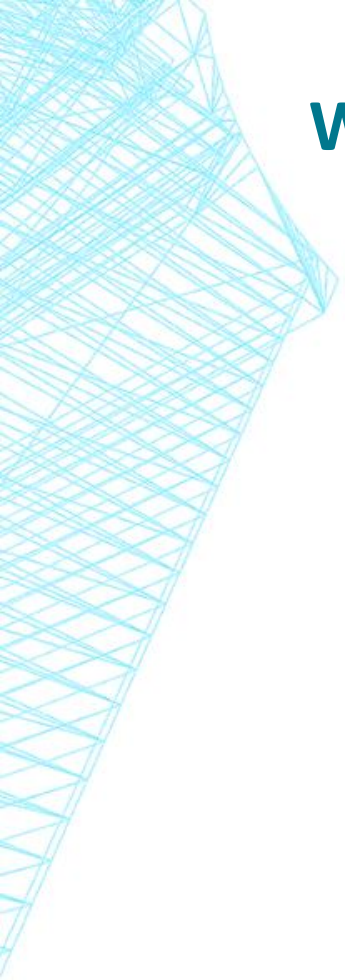
After Finishing This Lecture We Should Know The Following:

- **What are the meaning of ethics?**
- **What are the meaning of business ethics?**
- **What are the shapes of ethical issues?**
- **What is the meaning and types of value?**
- **What are the factors that provoke good people to make unethical choices?**
- **What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?**



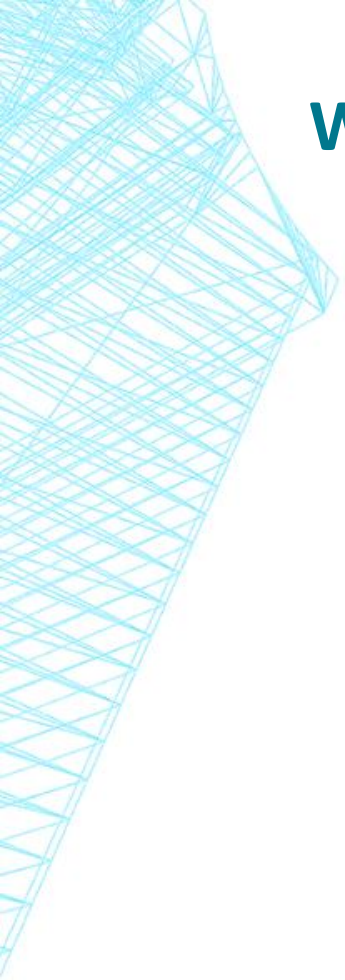
After Finishing This Lecture We Should Know The Following:

- **What are the ethical responsibilities of leadership in the organization?**
- **What is the meaning of Corporate Social Responsibility (CSR)?**
- **What are the differences between compliance and ethics?**
- **What ethical deeds should MNEs (multinational enterprises) do for the local countries where they work?**
- **What ethical principles govern international firms doing business in LDCs (least developed countries)?**



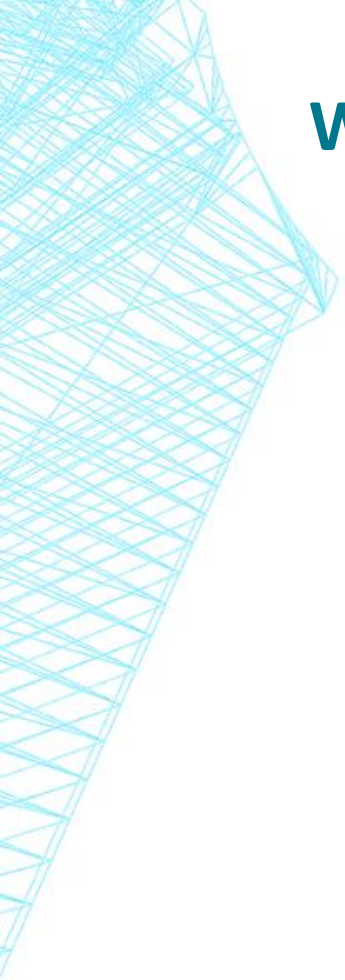
What are the meaning of ethics?

- Ethics essentially involves how we act, live, lead our lives, and treat others.
- Ethics also includes our choices and decision-making processes, as well as the moral principles and values that govern our behaviors regarding what is right and wrong.



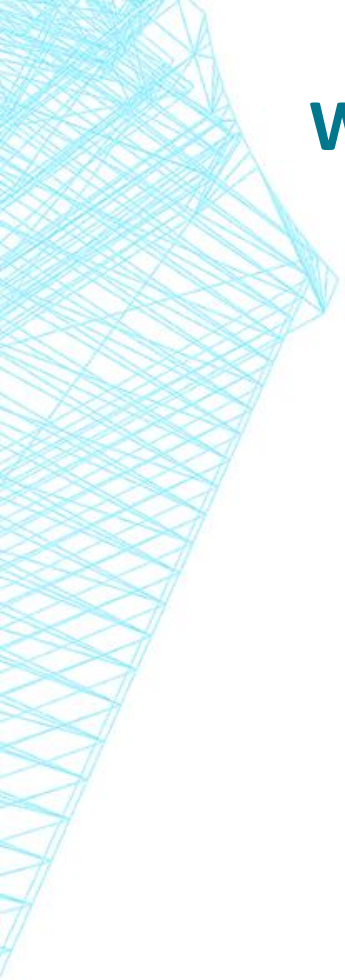
What are the meaning of business ethics?

- Business ethics is how we apply our values when we conduct business.
- Business ethics is applied ethics that focuses on real-world situations and the context and environment in which transactions occur or within organization.
- Ethics and business ethics continue to gain influence in corporations, universities, and colleges nationally and internationally.



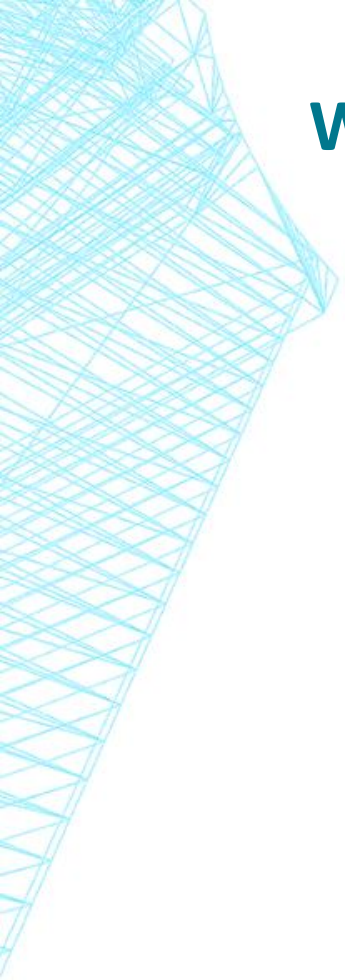
What are the shapes of ethical issues?

- It can be in the form of **corruption, financial and economically motivated crimes, and misbehavior.**
- Intentional and unintentional **misuse of** such designs embedded in **technologies** which can **threaten** individual **rights, privacy, free will, and choice.**
- Another timely ethical issue is **climate change** and the **environment** for example, **lack of sustainable environmental practices** that **curb** air **pollution and destructive uses of land, water, and natural resources.**



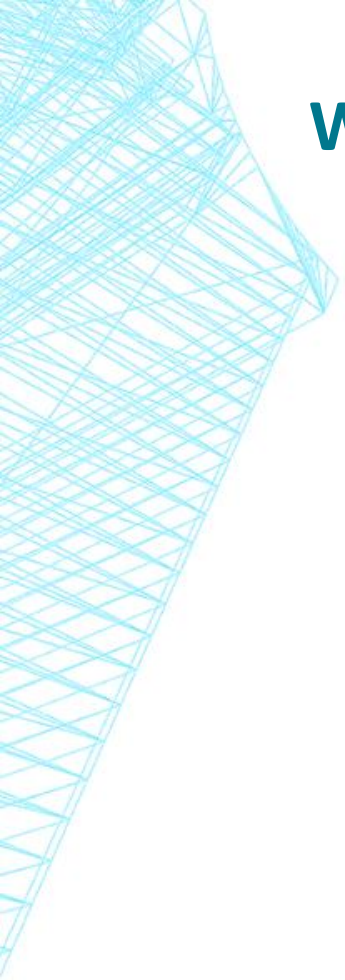
What is the meaning of value and what are the types of value?

- Value is the principles or standards that affect behavior.
- One's judgment of what is important in life.
- Values have been categorized as terminal and instrumental.



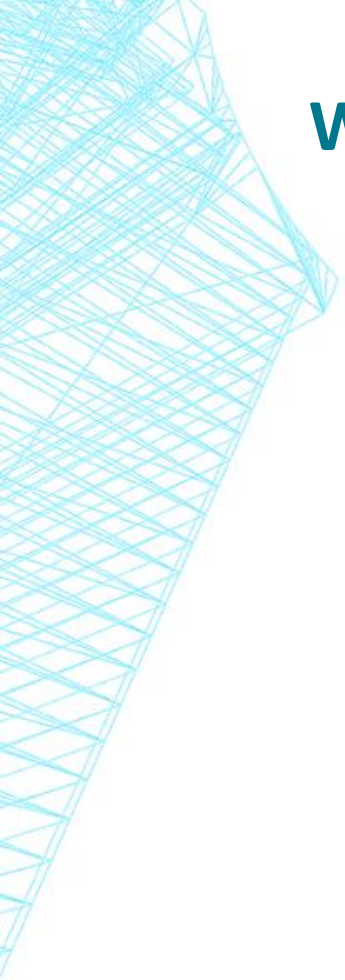
What is the meaning of value and what are the types of value?

- **Terminal values** are desired goals, objectives, or end states that individuals wish to pursue. Examples of terminal values are freedom, security, pleasure, social recognition, friendship, accomplishment, comfort, adventure, equality, wisdom, and happiness.
- **Instrumental values** are the preferred means of behavior used to obtain those goals. Examples of instrumental values are being helpful, honest, courageous, independent, polite, responsible, capable, ambitious, loving, self-contained, and forgiving.



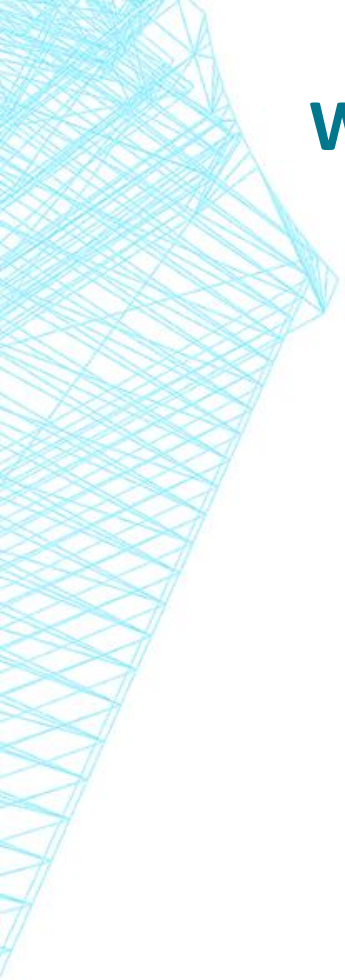
What is the relationship between values and ethics?

- Identifying and separating terminal from instrumental values in any given situation can assist individuals, groups, and work units in distinguishing between the “ends (goals) from the means (methods to reach the goals)” and vice versa in making decisions, thereby helping us choose more ethical options—or at least less unethical ones—in situations.



What is the relationship between values and ethics?

- **For example**, a sales manager wants to motivate his sales force to achieve individual sales performance levels that increase 17% over current levels by the end of the calendar quarter.
- According to the manager, the way to do so is to “Go for it. Use your imagination and fortitude.”



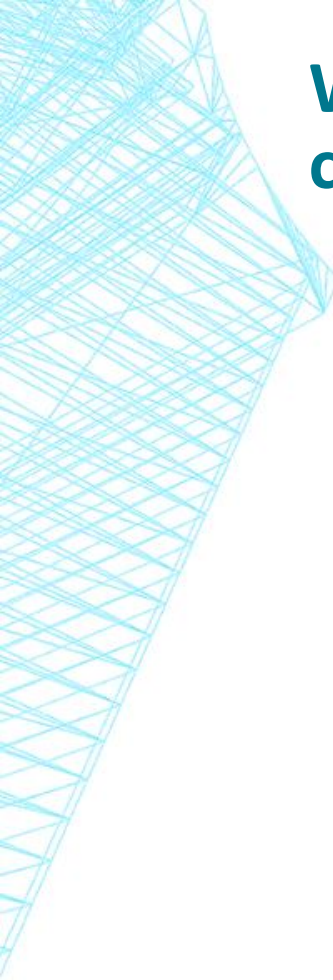
What is the relationship between values and ethics?

- Both the terminal and instrumental values in this example could very likely create undue pressure and even anxiety for some members of the sales force.
- If the end (terminal) value creates undue pressure and is unrealistic and unobtainable, then the means (instrumental) value would likely create tension and unethical behavior as well.

What is the relationship between values and ethics?

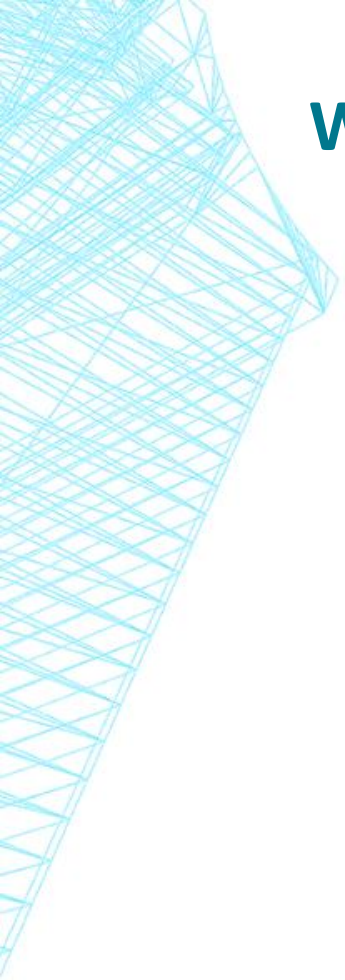
- This is what recently happened at Wells Fargo & Company, an American international banking and financial services holding company headquartered in San Francisco.
- High-pressure and unrealistic sales goals were adopted and implemented from the top down in that organization.
- As a result, members of that sales force lied, pressured, and misled loyal customers to buy bogus financial products to meet unrealistic sales goals.
- Such actions when discovered led to and revealed illegal and unethical actions from not only the sales professionals but officers at the top of that organization.

Ultimately, the CEO was pressured to resign, 5,300 employees were fired, and several lawsuits ensued.



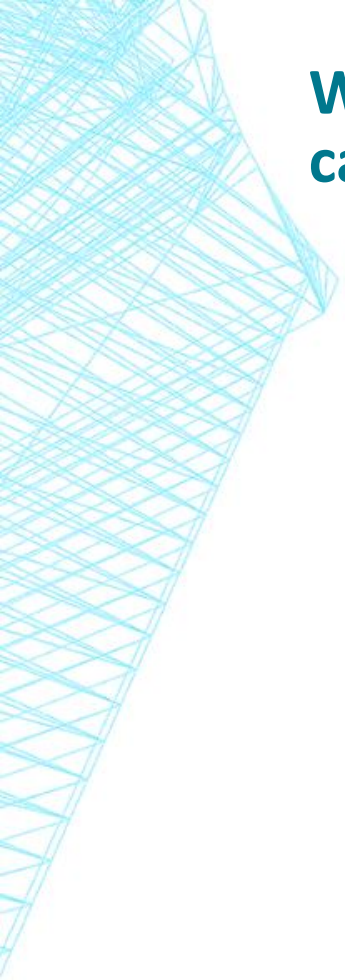
What are the factors that provoke good people to make unethical choices?

- (1) People feel psychologically unsafe to speak up.
- (2) Excessive pressure to reach unrealistic performance targets compromises people's choices.
- (3) When individuals face conflicting goals, they feel a sense of unfairness and compromise their reasoning.
- (4) Only talking about ethics when there is a scandal.
- (5) When there is no positive example available, individuals react instead of choosing ethical decisions.



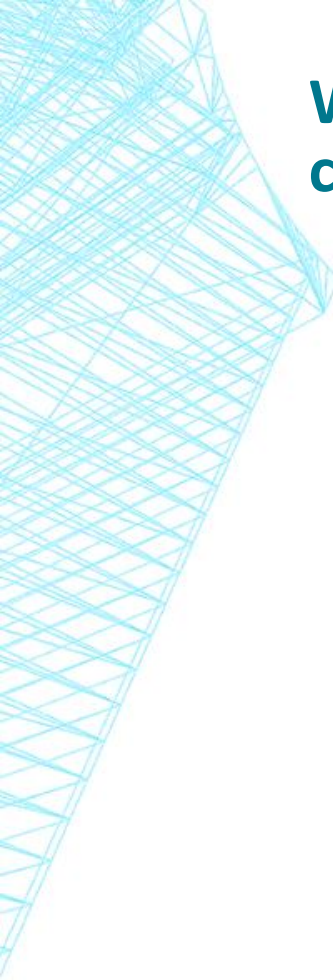
What is the difference between ethical principles and value?

- Ethical principles are considered rules that are more permanent, universal, and unchanging.
- Values are subjective, even personal, and can change with time.



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

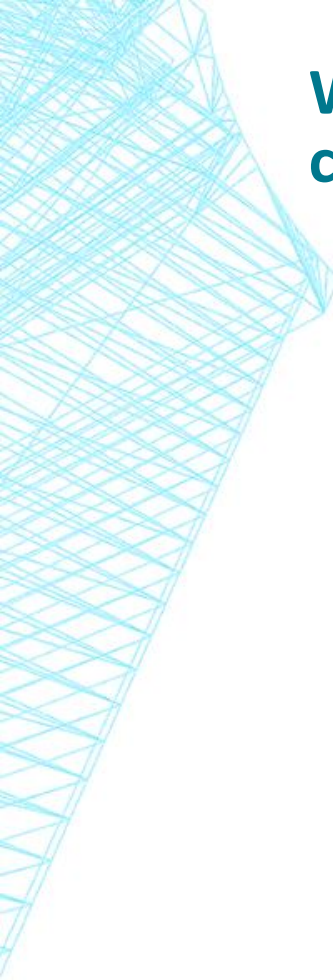
- Principles (ethical approaches) help inform and influence values.
- These principles can be, and are, used in combination; different principles are also used in different situations.
- As you read these, ask yourself which principles characterize and underlie your values, beliefs, behaviors, and actions.
- Intentionally using one or more of these principles and ethical approaches can also help you examine choices and options before making a decision or solving an ethical dilemma.



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

1- Utilitarianism: A Consequentialist “Ends Justifies Means” Approach

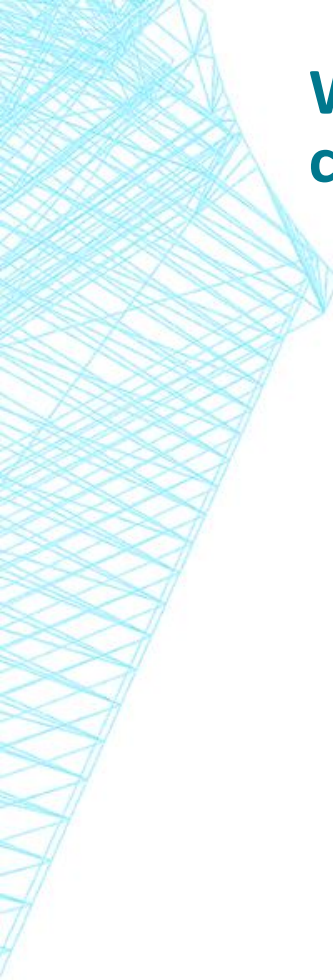
- **The utilitarianism** principle basically holds that an **action is morally right** if it **produces the greatest good for the greatest number of people**.
- Some **limitations** of this principle suggest that it **does not consider individuals**, and there is **no agreement on the definition of “good for all concerned.”**



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

2- Universalism: A Duty-Based Approach

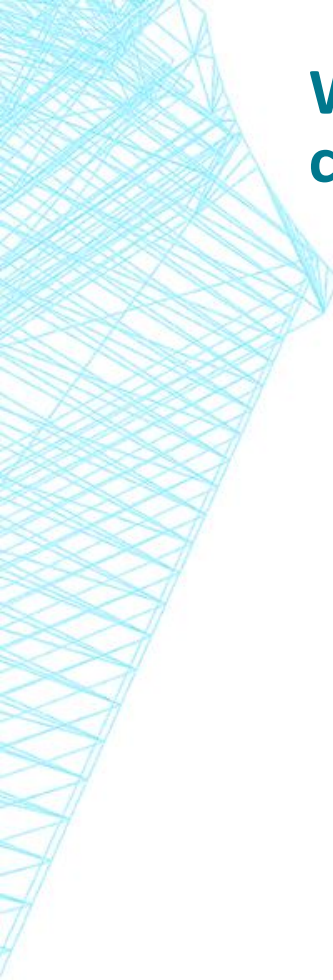
- **Universalism** is a principle that considers the welfare and risks of all parties when considering policy decisions and outcomes.
- This principle involves taking human beings, their needs, and their values seriously.
- It is not only a method for making a decision; it is a way of incorporating a humane consideration of and for individuals and groups when deciding a course of action.



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

3- Rights: A Moral and Legal Entitlement–Based Approach

- This **principle** is grounded in **both legal and moral rights**.
- Some **limitations** when using this principle are:
 - (1) it can be used to **manipulate** selfish and unjust political interests,
 - (2) it is **difficult** to **determine who deserves what when both parties are “right,”**
 - (3) individuals can **exaggerate certain rights for some people** at the expense of others.



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

4- Justice: Procedures, Compensation, and Retribution

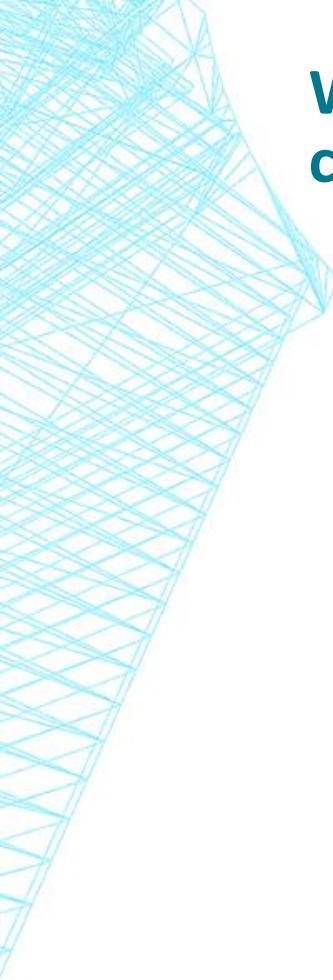
- This principle has **four major components**:

- (1) all **individuals** should be **treated equally**;

- (2) **justice** is **applied** when all persons have **equal opportunities and advantages**;

- (3) **Practice fair** decision practices, procedures, and agreements **among parties**;

- (4) **punishment** is applied to someone who has **inflicted harm on another**, and **compensation** is given to those for **past harm or injustice committed against them**.



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

4- Justice: Procedures, Compensation, and Retribution

- When applying this approach we should ask the following questions:

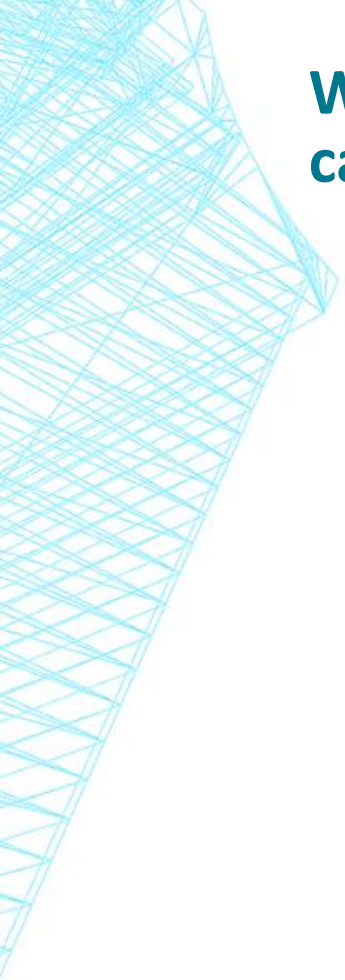
(1) Is it fair?

(2) Is it right?

(3) Who gets hurt?

(4) Who has to pay for the consequences?

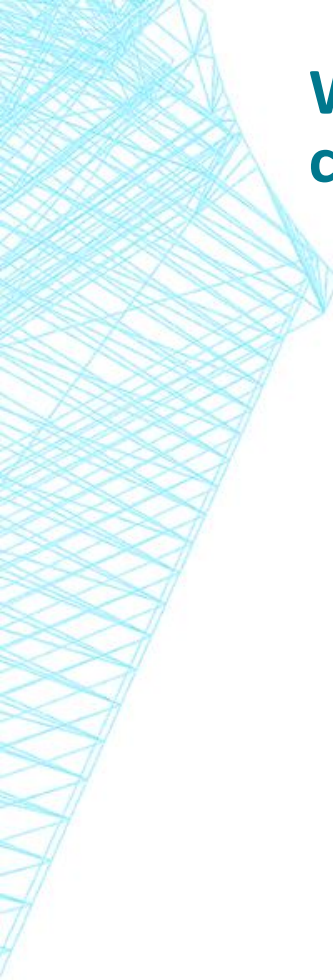
(5) Do I/we want to assume responsibility for the consequences?



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

5- Virtue Ethics: Character-Based Virtues

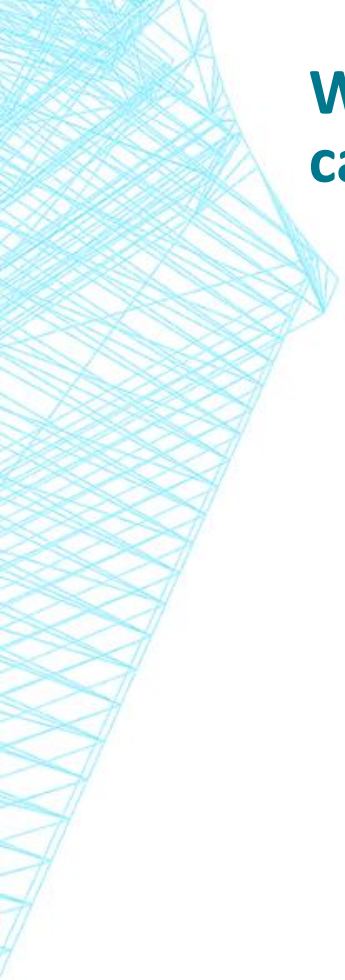
- Virtue ethics is **based on** the **character traits of the person** who makes the decision or does the action, **such as** being truthful, practical wisdom, happiness, flourishing, and well-being.
- **It focuses on the type of person we ought to be**, not on specific actions that should be taken.



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

6- The Common Good

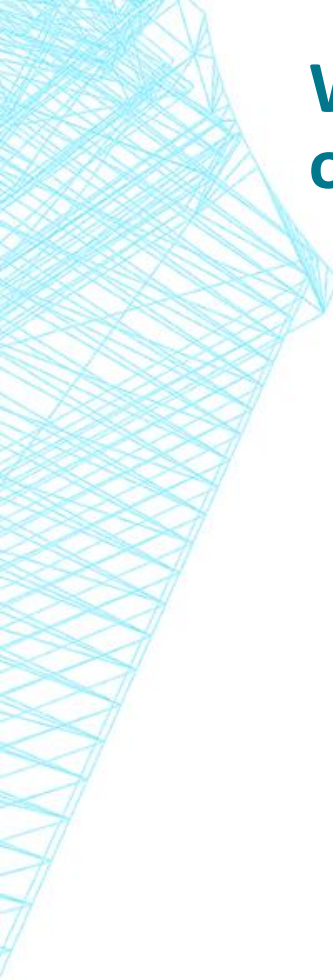
- Focusing on the broader society and the common good of the many when making choices.
- The common good approach requires us to make goals and take actions that take others, beyond ourselves and our self-interest, into account.
- Applying the common good principle can also be asked a simple question:
 - “How will this decision or action affect the broader physical, cultural, and social environment in which I, my family, my friends, and others have to live, breathe, and thrive now, next week, and beyond?”



What are the major ethical principles that individuals and organizations can use to make a decision or solve an ethical dilemma?

7- Ethical Relativism: A Self-Interest Approach

- Ethical relativism **holds** that people **set their moral standards for judging their actions.**
- **Ethical relativism** is really **not a “principle”** to be followed or modeled. It is an **orientation** that many use quite frequently.
- Moreover, **moral standards**, according to this principle, **vary from one culture to another.**

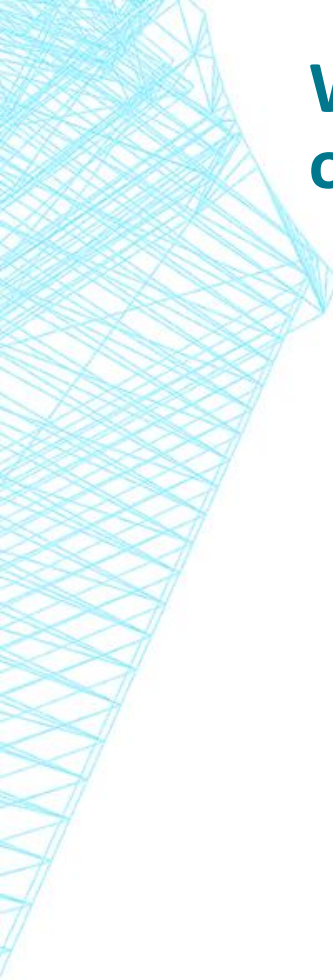


What are the ethical responsibilities of leadership in the organization?

- **Show Respect for Others:** Respecting others includes tolerating individual differences and affording followers the freedom to think independently, act as individuals, and pursue their own goals.
- **Treat All Stakeholders Fairly:** Ethical leaders must refrain from offering special treatment to others; failure to do so creates winners and losers—in-groups and out-groups—and can breed resentment between those who receive special treatment and those who do not.

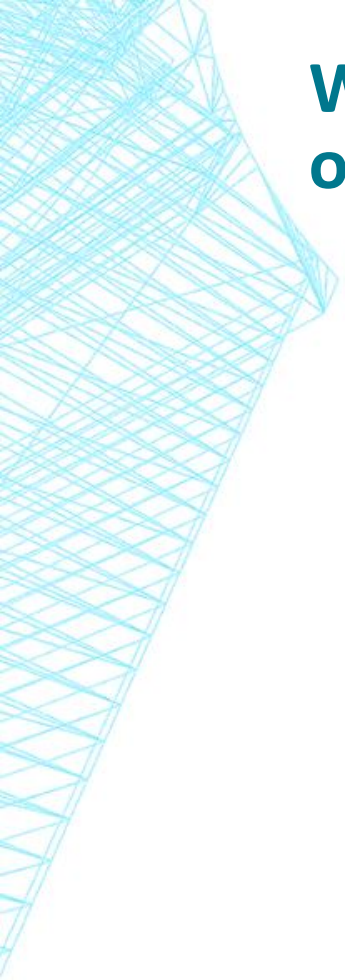
What are the ethical responsibilities of leadership in the organization?

- **Work Toward a Common Good:** This responsibility **requires** the ethical leader to **serve the greater good by** attending to the needs of others. This type of behavior is an example of **altruism**: a steadfast **devotion to improving the welfare of others**.
- **Altruistic** behavior may manifest in a corporate setting through **actions** such as **mentoring, empowerment behaviors** (encouraging and enabling others), **team building**, and **citizenship behaviors** (such as showing concern for others' **welfare**), to name a few.



What are the ethical responsibilities of leadership in the organization?

- **Build Community:** A common goal **means** that **no one** can **place his needs ahead of the group's goals**, and an ethical leader **cannot impose** his **will on others**.
- **Be Honest:** Being honest is **not simply telling the truth** and avoiding deceitful behaviors; it **requires leaders to be as open as possible and to describe reality fully**, accurately, and in sufficient detail.

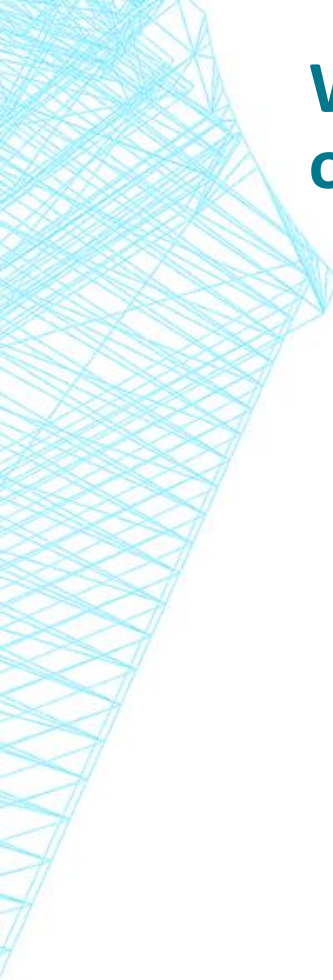


What are the ethical responsibilities of leadership in the organization?

- **Using Stewardship and Servant Leadership Styles:**

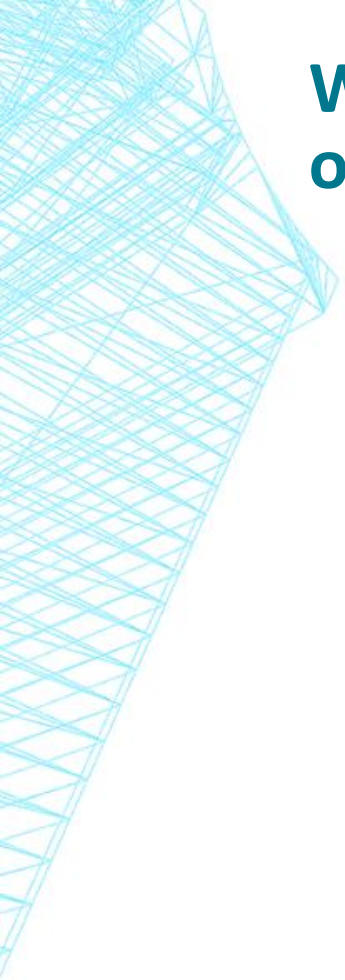
- **Stewardship** concerns **empowering followers** to make decisions and gain control over their work.

- The **stewardship** approach instructs **leaders to lead without dominating followers**. Leaders who practice stewardship sincerely **care about their followers** and **help** them develop and accomplish individual and organizational goals.



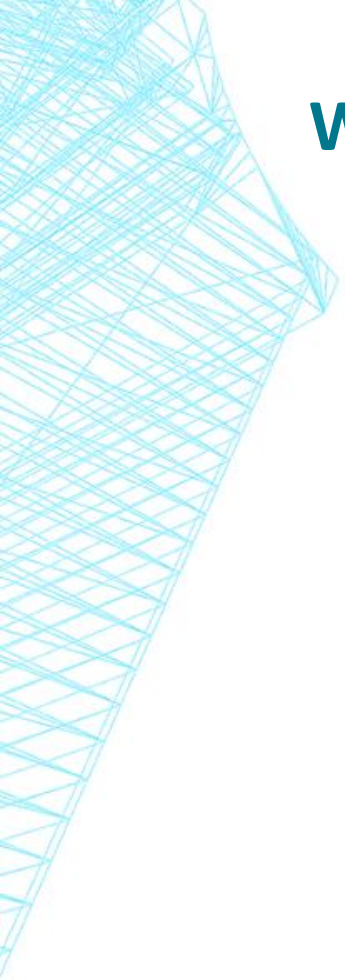
What are the ethical responsibilities of leadership in the organization?

- **Servant** leadership involves **selflessly working with followers** to achieve shared goals that improve collective, rather than individual, welfare.
- **The following aspects are central to servant leadership:**
 1. **Placing service before self-interest.** The servant leader's primary concern is helping others, not receiving recognition or financial reward.
 2. **Listening to others.** Servant leaders recognize the importance of listening to stakeholders' ideas and concerns; they never attempt to impose their will on others.



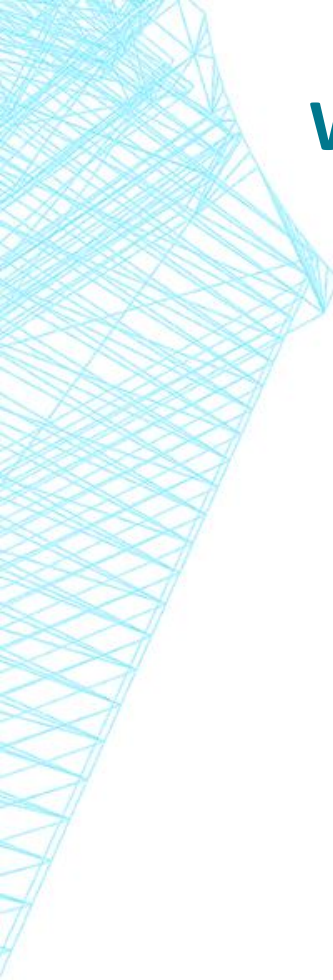
What are the ethical responsibilities of leadership in the organization?

3. **Inspiring through trust.** As we discussed earlier, ethical leaders must be trustworthy. It does not take much effort for servant leaders to be truthful because they usually have strong moral convictions.
4. **Working toward feasible goals.** Servant leaders realize that one person cannot solve many problems.
5. **Helping others whenever possible.** Servant leaders lend a helping hand when the opportunity arises.



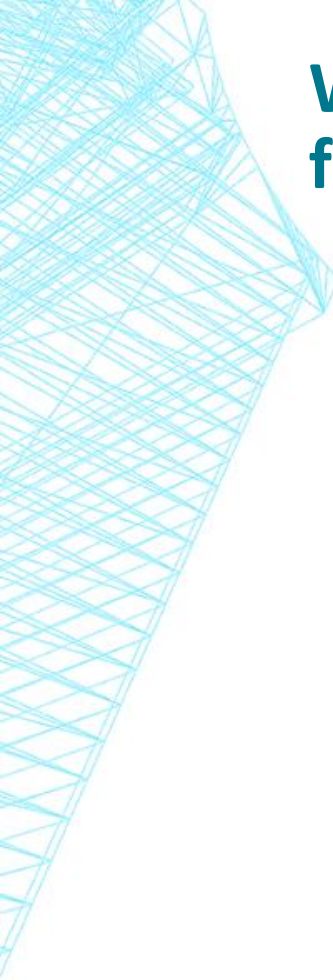
What are the differences between compliance and ethics?

- Ethics has been characterized as “doing the right thing” and serving as a motivational force that influences professionals’ values.
- Compliance is related to influencing behaviors to act in accordance with the law or face consequences—referred to as a “stick” approach.



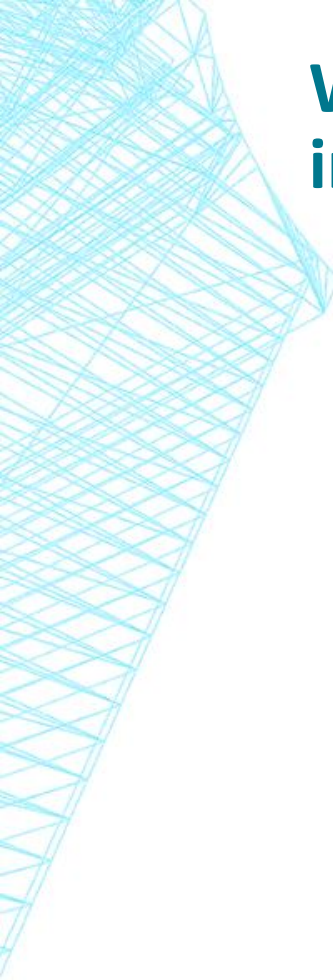
What is the meaning of Corporate Social Responsibility (CSR)?

- CSR contributes to another form of self-regulation that goes further and involves firms taking action to help people and the environment.
- CSR is described as “a belief that corporations have a social responsibility beyond pure profit.”
- In other words, “Firms are social entities, and so they should play a role in the social issues of the day. They should take seriously their ‘obligations to society’ and actively try to fulfill them.



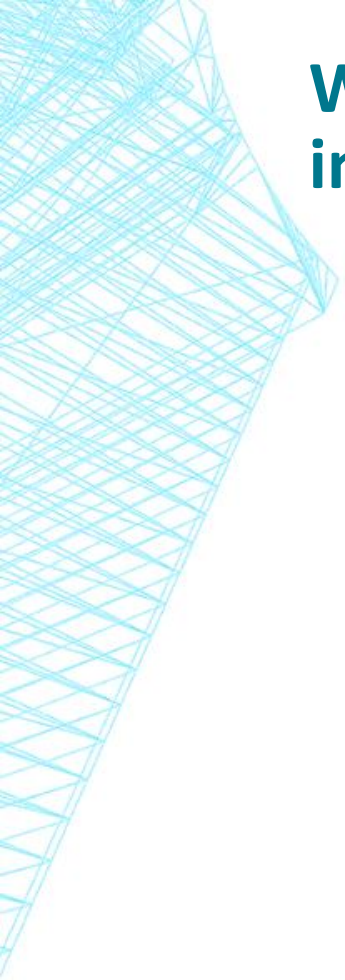
What ethical deeds should MNEs (multinational enterprises) do for the local countries where they work?

- Hiring local labor.
- Creating new jobs.
- Co-venturing with local entrepreneurs and companies.
- Attracting local capital to projects.
- Providing for and enhancing technology transfer.
- Developing particular industry sectors.
- Providing business learning and skills.
- Increasing industrial output and productivity.
- Helping decrease the country's debt and improve its balance of payments and standard of living.



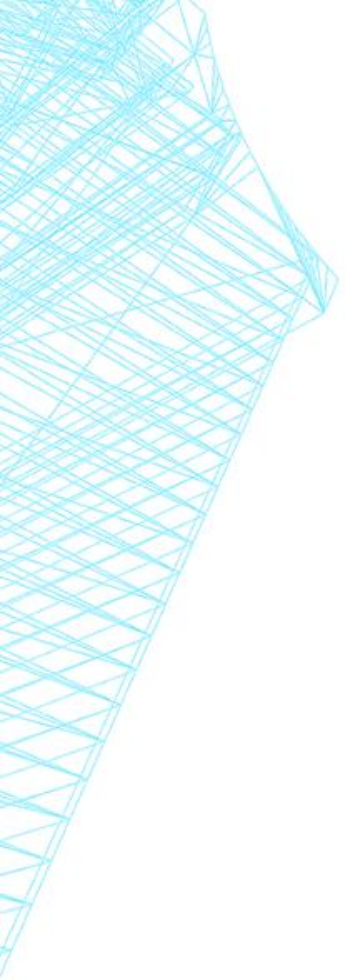
What ethical principles govern international firms doing business in LDCs (least developed countries)?

- (1) support and respect the protection of internationally proclaimed human rights,
- (2) ensure that they are not complicit in human rights abuses,
- (3) eliminate all forms of forced and compulsory labor,
- (4) abolish child labor,
- (5) eliminate the discrimination of employment and occupation,



What ethical principles govern international firms doing business in LDCs (least developed countries)?

- (6) support a precautionary approach to environmental challenges,
- (7) promote greater environmental responsibility through initiatives,
- (8) encourage the development and diffusion of environmentally friendly technologies,
- (9) work against corruption, including extortion and bribery.



THANKS